Quick or Acid Test

The acid test is a favourite of investors and creditors. This ratio is used to check whether a company has enough cash or cash equivalents to meet its current obligations or liabilities. The underlying logic being that there usually is no conversion cost when cash or cash equivalents are used to pay debts. Other assets such as inventories (stocks) may realise less than book value if sold at a distress. In other words, company could lose when converting these to cash in an emergency.

This ratio is arrived at by dividing cash, marketable investments and debtors by current liabilities. It is to be noted that investments, though strictly not a current asset, is used in calculating this ratio. This is because they are easily realisable:

$$\text{Quick ratio} = \frac{\text{Cash and cash equivalents}}{\text{Current liabilities}}$$

Illustration

An extract of Nivya Ltd's financial statement at 31 March was as follows:

	Rs (lakh)
Cash at Bank	150
Debtors	1850
Stocks	3100
Investments	500
Current Assets	5600
Current liabilities	4000

The quick ratio will be:

$$\frac{150+1850+500}{4000} = 0.625$$

The company cannot pay off its entire current liabilities with cash or cash equivalents. It should be remembered that stocks have not been considered in calculating this ratio as it is not a cash equivalent and, as explained above, if one wishes to sell these in a hurry there is likely to be a loss arising out of dumping of goods.